

CAPITAL MARKETS

Balbec's \$930M Fund Close Shows Private Credit Is Underwriting the CRE Cycle, Not Just Funding It

The fund's size and timing reveal that private credit is now the marginal lender, not a niche alternative.

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A source-grounded Light Tower Insight. The complete note follows.

Balbec Capital has raised \$930 million for its latest debt fund. The number is large. The signal it sends about the commercial real estate capital stack is larger.

The first close of IGCf-VII is not just another private credit fundraise. It is evidence that the market has crossed a threshold. Private credit is no longer filling gaps left by retreating banks. It is becoming the primary underwriting engine for a growing share of commercial and residential mortgage debt.

Balbec will target performing and nonperforming residential mortgage loans, mortgage servicing rights, and commercial mortgage and bridge loans across the U.S. and western Europe. The fund is expected to exceed the firm's prior \$1.47 billion vehicle. Balbec has already issued 107 securitizations and manages roughly \$8 billion in assets.

The firm is not alone. Heitman raised \$806 million for its debt fund last year. The second half of 2025 saw roughly \$1.4 trillion in private credit loans across commercial real estate. These are not marginal flows. They represent a structural shift in who provides the debt that moves assets, refinances maturities, and absorbs bank retrenchment.

The underwriting condition that separates an investable deal from an attractive story in this market is simple: can the debt survive a year of expensive money without forcing a maturity event? Balbec is raising capital to answer that question for borrowers who cannot get an answer from a bank.

Traditional lenders are still dealing with pandemic-era balance sheet issues. They are backpedaling on new deals. That is not a temporary posture. It is a capital allocation decision. Banks are choosing to shrink real estate exposure, not because every loan is troubled, but because the regulatory cost of holding it has risen. Private credit is stepping in not as a lender of last resort but as the lender of this cycle.

Balbec's fund will invest across the risk spectrum. Performing loans offer yield in a rate environment that still compresses spreads. Nonperforming loans offer the chance to acquire debt at a discount and control the workout. Mortgage servicing rights offer fee income tied to a base of loans that will not refinance quickly. Commercial bridge loans offer floating-rate exposure with shorter duration. The

fund is structured to capture returns from both the carry and the eventual resolution of legacy stress.

The mechanism at work is not just capital supply. It is capital structure. Private credit funds are not constrained by the same risk-weighting, liquidity coverage, or stress-testing rules that limit banks. They can underwrite to a higher yield, accept more complexity, and hold assets through a cycle. That flexibility is exactly what the current market demands. Borrowers with maturing loans, assets that need repositioning, and sponsors who cannot meet bank underwriting standards are all potential customers.

The cast of characters in this story is instructive. Balbec is the capital provider. The borrower is any owner or sponsor who needs debt that a bank will not write. The traditional lender is the one stepping back. The securitization market is the exit. Balbec has already demonstrated it can package loans into CLOs, including a \$615 million transaction backed by senior floating-rate commercial mortgage loans, mostly apartment debt. That creates a recycling mechanism. Capital comes in from LPs, gets deployed as loans, gets securitized, and returns to the fund for redeployment.

The claim here is bounded but consequential: private credit is not a cyclical fill-in. It is becoming a permanent layer of the capital stack for assets that do not fit the bank mold. The open question is whether the underwriting discipline holds as more capital chases the same deals. Balbec's track record of 107 securitizations suggests it has a system. But the system has not been tested by a full downturn in commercial real estate values.

For owners and sponsors, the implication is clear. The bank window is not coming back to its pre-2020 size. Private credit is the alternative, but it comes with a higher cost of capital and more structural complexity. Borrowers who can present a clear story, a credible sponsor, and a defensible basis will find capital. Those who cannot will wait longer and pay more.

For lenders, the competition is no longer just other banks. It is private credit funds with billions in committed capital, flexible mandates, and a willingness to underwrite risk that banks cannot touch. The pricing gap will narrow as private credit gains scale and efficiency.

For investors, the fund close is a reminder that the real yield in commercial real estate right now is not in buying assets. It is in providing the debt that buys them time.

Balbec is not betting that every loan will perform. It is betting that the spread between the cost of its capital and the yield on the debt is wide enough to absorb losses. That is the underwriting condition that separates an investable deal from an attractive story. The market should test whether that spread holds as more capital enters the space.

SOURCES

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<https://www.bisnow.com/national/news/capital-markets/balbec-launches-flagship-fund-with-930m-first-close-135468>

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